

The Ministry of Consumer Affairs, Food and Public Distribution, Department of Consumer Affairs, issued Notification G.S.R. 462(E) in New Delhi on 23rd July, 2020. In exercise of the powers conferred by sub-clause (zg) of sub-section (1) of section 101 of the Consumer Protection Act, 2019 (35 of 2019), the Central Government made the following rules, namely the Consumer Protection (E-Commerce) Rules, 2020. These rules may be called the Consumer Protection (E-Commerce) Rules, 2020, and they shall come into force on the date of their publication in the Official Gazette.

The rules apply, unless otherwise expressly provided by the Central Government by notification, to all goods and services bought or sold over a digital or electronic network, including digital products, all models of e-commerce including marketplace and inventory models of e-commerce, all e-commerce retail including multi-channel single brand retailers and single brand retailers operating in single or multiple formats, and all forms of unfair trade practices across all models of e-commerce. However, these rules do not apply to any activity carried out by a natural person in a personal capacity where such activity is not part of any professional or commercial activity undertaken on a regular or systematic basis. Notwithstanding this provision, the rules also apply to any e-commerce entity that is not established in India but systematically offers goods or services to consumers in India.

Unless the context otherwise requires, the term "Act" means the Consumer Protection Act, 2019 (35 of 2019). The term "e-commerce entity" means any person who owns, operates, or manages a digital or electronic facility or platform for electronic commerce, but does not include a seller offering goods or services for sale on a marketplace e-commerce entity. "Grievance" includes any complaint made to an e-commerce entity regarding violations of the provisions of the Act and the rules made under it. "GSTIN" means the Goods and Services Tax Identification Number under the Central Goods and Services Tax Act, 2017 (12 of 2017). "Information" has the same meaning assigned to it in clause (v) of sub-section (1) of section 2 of the Information Technology Act, 2000 (21 of 2000). An "inventory e-commerce entity" means an e-commerce entity that owns the inventory of goods or services and sells them directly to consumers and includes single brand retailers and multi-channel single brand retailers. A "marketplace e-commerce entity" means an e-commerce entity that provides an information technology platform on a digital or electronic network to facilitate transactions between buyers and sellers. "PAN" means the Permanent Account Number under section 139A of the Income Tax Act, 1961 (43 of 1961). A "platform" means an online interface in the form of software, including a website, part of a website, or applications including mobile applications. "Ranking" means the relative prominence or relevance given to goods or services offered through a marketplace e-commerce entity as presented, organised, or communicated by that entity, irrespective of the technological means used for such presentation, organisation, or communication. A "seller" means the product seller as defined in clause (37) of section 2 of the Act and

includes any service provider. A "user" means any person who accesses or avails any computer resource of an e-commerce entity. Any words and expressions used in these rules but not defined shall have the meanings respectively assigned to them in the Consumer Protection Act, 2019, the Information Technology Act, 2000, or the rules made under those Acts.

Every e-commerce entity shall be a company incorporated under the Companies Act, 1956 (1 of 1956), the Companies Act, 2013 (18 of 2013), a foreign company covered under clause (42) of section 2 of the Companies Act, 2013, or an office, branch, or agency outside India owned or controlled by a person resident in India as provided under sub-clause (iii) of clause (v) of section 2 of the Foreign Exchange Management Act, 1999 (42 of 1999). Every e-commerce entity shall appoint a nodal person of contact or an alternate senior designated functionary who is resident in India to ensure compliance with the provisions of the Act and the rules made under it.

Every e-commerce entity shall prominently display on its platform, in a clear and accessible manner, its legal name, the principal geographic address of its headquarters and all branches, the name and details of its website, and contact details including the e-mail address, fax number, landline number, and mobile number of customer care as well as the grievance officer. No e-commerce entity shall adopt any unfair trade practice in the course of business on its platform or otherwise. Every e-commerce entity shall establish an adequate grievance redressal mechanism having regard to the number of grievances ordinarily received from India, appoint a grievance officer for consumer grievance redressal, and prominently display the name, designation, and contact details of the grievance officer on its platform. The grievance officer shall acknowledge receipt of every consumer complaint within forty-eight hours and redress the complaint within one month from the date of receipt. Where an e-commerce entity offers imported goods or services for sale, it shall mention the name and details of the importer from whom such goods or services were purchased or who may be a seller on its platform. Every e-commerce entity shall endeavour, on a best-effort basis, to become a partner in the convergence process of the National Consumer Helpline of the Central Government.

No e-commerce entity shall impose cancellation charges on consumers who cancel a purchase after confirming the order unless similar charges are also borne by the e-commerce entity when it unilaterally cancels the purchase order for any reason. Every e-commerce entity shall record the consent of a consumer for the purchase of any good or service offered on its platform only where such consent is expressed through an explicit and affirmative action. No e-commerce entity shall record such consent automatically, including through pre-ticked checkboxes. Every e-commerce entity shall process all payments towards accepted refund requests of consumers, as prescribed by the Reserve Bank of India or any other competent authority under any law in force,

within a reasonable period of time or as prescribed under applicable laws. No e-commerce entity shall manipulate the price of goods or services offered on its platform in a manner that results in unreasonable profit by imposing any unjustified price on consumers, taking into account the prevailing market conditions, the essential nature of the goods or services, any extraordinary circumstances under which they are offered, and any other relevant consideration for determining whether the price charged is justified. No e-commerce entity shall discriminate between consumers of the same class or make any arbitrary classification of consumers affecting their rights under the Act.

A marketplace e-commerce entity seeking exemption from liability under sub-section (1) of section 79 of the Information Technology Act, 2000 (21 of 2000), shall comply with sub-sections (2) and (3) of that section, including the provisions of the Information Technology (Intermediary Guidelines) Rules, 2011. Every marketplace e-commerce entity shall require sellers, through an undertaking, to ensure that descriptions, images, and other content relating to goods or services displayed on its platform are accurate and correspond directly with the appearance, nature, quality, purpose, and other general features of those goods or services.

Every marketplace e-commerce entity shall prominently display, in a clear and accessible manner, details about the sellers offering goods and services. This information shall include the seller's business name, whether registered or not, geographic address, customer care number, any rating or other aggregated feedback relating to the seller, and any other information necessary to enable consumers to make informed decisions before purchasing. Upon receiving a written request from a consumer after the purchase of any goods or services through its platform, the marketplace e-commerce entity shall provide information regarding the seller from whom the purchase was made, including the principal geographic address of the seller's headquarters and all branches, the name and details of the seller's website, the seller's e-mail address, and any other information necessary for effective communication with the seller for dispute resolution.

Every marketplace e-commerce entity shall provide a ticket number for each complaint lodged so that the consumer can track the status of the complaint. It shall also provide information relating to returns, refunds, exchanges, warranties, guarantees, delivery, shipment, modes of payment, grievance redressal mechanisms, and any other similar information required by consumers for making informed decisions. The marketplace e-commerce entity shall provide information on the available payment methods, the security of those payment methods, any fees or charges payable by users, the procedure for cancelling regular payments under those methods, available charge-back options, if any, and the contact information of the relevant payment service provider. It shall also display all information provided by sellers under sub-rule (5) of rule 6. In

addition, it shall provide an explanation of the main parameters that individually or collectively are most significant in determining the ranking of goods or sellers on its platform, together with the relative importance of those parameters, through an easily and publicly available description written in plain and intelligible language.

Every marketplace e-commerce entity shall include, in the terms and conditions governing its relationship with sellers on the platform, a description of any differentiated treatment that it gives or may give between goods or services or sellers belonging to the same category. Every marketplace e-commerce entity shall make reasonable efforts to maintain a record of relevant information enabling the identification of all sellers who have repeatedly offered goods or services that were previously removed, or access to which was previously disabled, under the Copyright Act, 1957 (14 of 1957), the Trade Marks Act, 1999 (47 of 1999), or the Information Technology Act, 2000 (21 of 2000). However, nothing in this provision requires the e-commerce entity to terminate the seller's access to its platform, although it may do so voluntarily.

No seller offering goods or services through a marketplace e-commerce entity shall adopt any unfair trade practice, whether in the course of offering goods or services on the e-commerce entity's platform or otherwise. No such seller shall falsely represent itself as a consumer and post reviews about goods or services or misrepresent the quality or the features of any goods or services. A seller offering goods or services through a marketplace e-commerce entity shall not refuse to take back goods, withdraw or discontinue services purchased or agreed to be purchased, or refuse to refund the consideration, if paid, where the goods or services are defective, deficient, or spurious, where the goods or services do not possess the characteristics or features as advertised or as agreed to, or where the goods or services are delivered later than the stated delivery schedule. However, in the case of late delivery, this provision shall not apply if the delay was due to force majeure.

Every seller offering goods or services through a marketplace e-commerce entity shall have a prior written contract with the respective e-commerce entity in order to undertake or solicit such sale or offer. The seller shall appoint a grievance officer for consumer grievance redressal and ensure that the grievance officer acknowledges receipt of every consumer complaint within forty-eight hours and redresses the complaint within one month from the date of receipt of the complaint. The seller shall ensure that advertisements used for marketing goods or services are consistent with the actual characteristics, access, and usage conditions of those goods or services. The seller shall provide to the e-commerce entity its legal name, the principal geographic address of its headquarters and all branches, the name and details of its website, its e-mail address, customer care contact details including fax, landline, and mobile numbers, and, where applicable, its GSTIN and PAN details.

Every seller offering goods or services through a marketplace e-commerce entity shall provide the e-commerce entity with all contractual information required to be disclosed by law. The seller shall provide the total price, in a single figure, of any good or service together with the breakup price showing all compulsory and voluntary charges, including delivery charges, postage and handling charges, conveyance charges, and applicable tax, wherever applicable. The seller shall provide all mandatory notices and information required under applicable laws and, where applicable, the expiry date of the goods being offered for sale. The seller shall provide all relevant details regarding the goods and services offered for sale, including the country of origin, that are necessary to enable consumers to make informed decisions before making a purchase. The seller shall also provide the name, designation, and contact numbers of the grievance officer responsible for consumer grievance redressal or for reporting any other matter. Where imported products are offered, the seller shall provide the name and details of the importer together with guarantees relating to the authenticity or genuineness of the imported products. The seller shall provide accurate information relating to exchange, returns, and refunds, including information regarding the cost of return shipping, in a clear and accessible manner. The seller shall also provide relevant details relating to the delivery and shipment of goods or services, together with any relevant guarantees or warranties applicable to those goods or services.

Every inventory e-commerce entity shall prominently display, in a clear and accessible manner, accurate information relating to returns, refunds, exchanges, warranties, guarantees, delivery, shipment, the cost of return shipping, modes of payment, grievance redressal mechanisms, and any other similar information that consumers may require to make informed decisions. It shall also display all mandatory notices and information required under applicable laws. The inventory e-commerce entity shall provide information regarding available payment methods, the security of those payment methods, the procedure for cancelling regular payments under those methods, any fees or charges payable by users, available charge-back options, if any, and the contact information of the relevant payment service provider. It shall disclose all contractual information required by law and the total price, in a single figure, of any good or service together with the breakup price showing all compulsory and voluntary charges, including delivery charges, postage and handling charges, conveyance charges, and applicable tax. It shall also provide a ticket number for every complaint lodged so that consumers can track the status of their complaints.

Every inventory e-commerce entity shall not falsely represent itself as a consumer or post reviews about goods or services, nor shall it misrepresent the quality or the features of any goods or services. Every inventory e-commerce entity shall ensure that advertisements used for marketing goods or services are consistent with the actual characteristics, access, and usage conditions of those goods or services. It shall not refuse to take back goods, withdraw or discontinue services purchased or agreed to be

purchased, or refuse to refund the consideration, if paid, where the goods or services are defective, deficient, spurious, do not possess the characteristics or features as advertised or as agreed, or are delivered later than the stated delivery schedule. However, this provision shall not apply where the delay in delivery is due to force majeure. Any inventory e-commerce entity that explicitly or implicitly vouches for the authenticity of the goods or services sold by it, or guarantees that such goods or services are authentic, shall bear appropriate liability in any action relating to the authenticity of such goods or services. Any violation of these rules shall attract the provisions of the Consumer Protection Act, 2019 (35 of 2019). The notification is issued under File No. J-10/3/2018-CPU and is signed by AMIT MEHTA, Joint Secretary. It was uploaded by the Directorate of Printing at Government of India Press, Ring Road, Mayapuri, New Delhi-110064, and published by the Controller of Publications, Delhi-110054.